



Going public

When a company changes from private to public, it offers shares for sale to members of the public. This process is known as going public and enables the company to raise money for growth.

How it works

The process by which an organization goes public (also known as flotation) marks the end of its life as a private company, after which it is no longer owned by a small number of shareholders or company members. A company may choose to go public when it needs capital to finance growth. Going public usually happens over several months; the company makes legal and financial preparations before the final stage, when it releases company shares for sale, either to selected investors or to the general public, or to a combination of both. Each share represents a “stake” in the company, and the money that the company receives from the sale of shares becomes capital, or wealth, which it now owns.

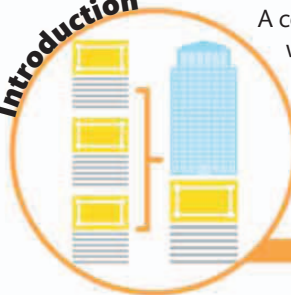
WARNING

- › **Underestimation** If the initial valuation of shares by the underwriters is too cautious, then the company will fail to realize the true value of its stock
- › **Overestimation** If underwriters overestimate the value of shares newly on the market (new issue), it may flop due to lack of demand
- › **Volatility** Share prices in the first few days of an IPO may fluctuate dramatically due to political or economic events

Ways to list on a stock exchange

There are three primary ways to take a company public, each of which has different associated costs. The type of public offering that a company chooses will be determined by its size and how much capital it needs to raise.

Introduction



A company joins a new stock exchange without raising capital, but by trading its existing shares. To do this, over 25 percent of the shares must already be in public hands (on other stock exchanges) and no one shareholder can own a majority of shares.

Placing



Select groups of institutional investors are invited to buy shares. This involves fewer costs than undertaking a full public share offering (see below) but the amount of capital that can potentially be raised is limited since there are fewer shareholders.

Initial public offering (IPO)



Institutional and private investors are invited to subscribe to or buy from the first round of shares that the company issues. This is the most expensive way to go public, but allows for a company to raise large amounts of capital.